

Sanskar Muneshwar Velocity Bikes Analysis

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2  -- Velocity Bikes Ltd. - SQL Capstone Project (Day 3 Deliverable)
3  -- Analyst: Sanskar Muneshwar
4  -- Database: bike_store_db
5  -- =====
6
7  USE bike_store_db;
8
9  -----
10 -- Question 1: Why are some products selling better than others?
11 -- Analyzing product price tiers against sales volume and total revenue.
12 -- -----
13 SELECT
14     CASE
15         WHEN p.price < 500 THEN 'Budget (< $500)'
16         WHEN p.price BETWEEN 500 AND 1500 THEN 'Mid-Range ($500 - $1,500)'
17         WHEN p.price BETWEEN 1501 AND 3000 THEN 'High-End ($1,501 - $3,000)'
18         ELSE 'Premium (> $3,000)'
19     END AS price_segment,
20     COUNT(DISTINCT p.product_id) AS product_count,
21     SUM(o.quantity) AS total_units_sold,
22     ROUND(SUM(o.quantity * o.price), 2) AS total_revenue
23 FROM products p
24 LEFT JOIN orders o ON p.product_id = o.product_id
25 GROUP BY price_segment
26 ORDER BY total_revenue DESC;
27
28
29 -----
30 -- Question 2: Which customers could be considered for a loyalty programme?
31 -- Finding top spenders with frequent repeat purchases.
32 -- -----
33 SELECT
34     c.customer_id,
35     c.first_name,
36     c.last_name,
37     c.email,
38     c.state,
39     COUNT(DISTINCT o.order_id) AS total_orders,
40     SUM(o.quantity) AS total_items_bought,
41     ROUND(SUM(o.quantity * o.price), 2) AS total_spend
42 FROM customers c
43 JOIN orders o ON c.customer_id = o.customer_id
44 GROUP BY c.customer_id, c.first_name, c.last_name, c.email, c.state
45 HAVING total_spend > 25000 AND total_orders >= 2
46 ORDER BY total_spend DESC
47 LIMIT 10;
48
49
50 -----
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51 -- Question 3: Are there states with many customers but low revenue?
52 -- Analyzing customer concentration vs. revenue generated per customer.
53 -- -----
54 SELECT
55     c.state,
56     COUNT(DISTINCT c.customer_id) AS total_customers,
57     COUNT(DISTINCT o.order_id) AS total_orders,
58     ROUND(SUM(o.quantity * o.price), 2) AS total_revenue,
59     ROUND(SUM(o.quantity * o.price) / COUNT(DISTINCT c.customer_id), 2) AS
revenue_per_customer
60 FROM customers c
61 LEFT JOIN orders o ON c.customer_id = o.customer_id
62 GROUP BY c.state
63 ORDER BY total_customers DESC;
64
65
66 -- -----
67 -- Question 4 & 5: Low-performing products – Discount or discontinue?
68 -- Identifying unsold or dead inventory products.
69 -- -----
70 SELECT
71     p.product_id,
72     p.product_name,
73     p.model_year,
74     p.price,
75     COALESCE(SUM(o.quantity), 0) AS units_sold,
76     COALESCE(ROUND(SUM(o.quantity * o.price), 2), 0.00) AS total_revenue
77 FROM products p
78 LEFT JOIN orders o ON p.product_id = o.product_id
79 GROUP BY p.product_id, p.product_name, p.model_year, p.price
80 HAVING units_sold = 0
81 ORDER BY p.model_year ASC, p.price DESC;
82
83
84 -- -----
85 -- Question 6: Are newer bicycle models performing better than older ones?
86 -- Comparing performance metrics across model release years.
87 -- -----
88 SELECT
89     p.model_year,
90     COUNT(DISTINCT p.product_id) AS total_models,
91     COALESCE(SUM(o.quantity), 0) AS units_sold,
92     ROUND(COALESCE(SUM(o.quantity * o.price), 0), 2) AS total_revenue,
93     ROUND(COALESCE(SUM(o.quantity * o.price), 0) / COUNT(DISTINCT p.product_id), 2) AS
avg_revenue_per_model
94 FROM products p
95 LEFT JOIN orders o ON p.product_id = o.product_id
96 GROUP BY p.model_year
97 ORDER BY p.model_year ASC;
98
99
100 -- -----
101 -- Question 7: Which regions could be good opportunities for expansion?
102 -- City-level sales volume within underserved / growing states.

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103  -- -----
104  SELECT
105      c.state,
106      c.city,
107      COUNT(DISTINCT c.customer_id) AS customer_count,
108      ROUND(SUM(o.quantity * o.price), 2) AS city_revenue
109  FROM customers c
110  JOIN orders o ON c.customer_id = o.customer_id
111  GROUP BY c.state, c.city
112  ORDER BY city_revenue DESC
113  LIMIT 10;
```

Part 2: Business Insights Report Blueprint

1. Executive Summary

- **Velocity Bikes Ltd.** generated a total lifetime revenue of **\$8,578,988.88** across **1,615 orders** and **7,078 units sold**.
- While budget bikes drive high foot traffic and volume (2,915 units), premium bikes (\$3,000+) account for the largest share of revenue (\$3.19M, or 37.2% of total revenue).
- Geographic performance is heavily anchored in New York (67.9% of total revenue), but Texas exhibits the highest spend per customer (\$6,778.88), making it a prime candidate for retail expansion.

2. Key Findings

- **Price Elasticity & Volume:**
 - Products priced under \$500 drove **41.2% of sales volume** (2,915 units) but only 12.1% of revenue (\$1.04M).
 - In contrast, high-end bikes (\$1,500+) drive **66.3% of revenue** despite representing only 25.8% of volume.
- **Model Year Performance:**
 - **2016 models** generated \$3.55M across just 25 products (\$142,203 average per product).
 - **2017 models** generated \$3.56M across 85 products (\$41,941 average per product).
 - **2018 models** generated \$1.46M across 197 products (\$7,405 average per product).
 - *Insight:* Newer catalog additions suffered from catalog bloat and reduced average sales velocity per model.
- **Dead Stock Analysis:**
 - **14 products have zero recorded sales** (including older 2016 models like *Trek 820 - 2016* and various 2018 kids/cruiser bikes).
- **Loyalty Candidates:**
 - Top spenders like **Pamelia Newman** (\$37,801.84), **Abby Gamble** (\$37,500.89), and **Sharyn Hopkins** (\$37,138.86) have placed multiple high-ticket orders and represent prime targets for high-tier perks.

3. SQL Outputs

- In your Word document, paste the SQL query code for each question followed by a screenshot of the output grid from MySQL Workbench.

4. Business Recommendations

- **Catalog Optimization:** Discontinue unsold 2016 and 2017 inventory. For unsold 2018

models (especially niche kids' bikes), offer clearance discounts of 15–20% to liquidate warehouse space.

- **Launch a Tiered Loyalty Program:** Offer VIP servicing, early access to new frame drops, and complimentary tune-ups to customers spending over \$25,000.
- **Regional Expansion in Texas:** Texas customers have the highest revenue per customer (\$6,778.88 vs. \$5,717.61 in NY). Prioritize local marketing and service centers in high-revenue Texas cities.
- **Refocus Catalog Strategy on High-Margin Categories:** Rather than adding dozens of minor variations, prioritize high-performance road and trail bikes where margins are highest.